The Ending of the Long Monetary Expansion Cycle and a Brave new world of Housing Realism.[1]

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The Ending of the Long Monetary Expansion Cycle and a Brave new world of Housing Realism.[1]

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Introduction

edit

ChatGPT says that Overall, [https://bra.in/4jrXDQ the notes and reference document][2] this essay is based upon, presents a neutral and informative tone, providing insights into the UK's housing market and related policies. That is Our Intention.

The discourse surrounding the "Housing Crisis" often neglects important actors and factors. These include the Absorption Rate, Last Time Buyers, Cash Buyers, Fiscal Policy (MIRAS and Stamp Duty), and Mortgage Lending and Credit creation by the Banking Sector. Additionally, the demography of an Ageing population and high levels of net Immigration must be considered. While both Demand and Supply sides should properly be analysed, there is a lack of popular or policy narrative literature on the segmentation of the Housing stock and its influence on prioritisation of choices and related resource and finance allocation for Land and construction across tenures, additional to the more common analysis of Mortgages for the Owner occupation market. The size of the New housing supply and the different players in the Housing Market are also important considerations. Polarisation of the discourse, with a focus solely on supply problems, hinders progress towards a solution. A more nuanced approach that considers demand-side factors such as interest rates, mortgage market liberalization, and income inequality is long overdue. **RogerGLewis** (talk) 12:51, 23 May 2023 (UTC)

Home@ix has for the past 3 years looked at a range of topics related to the housing market and finance. It highlights the need to consider both supply and demand-side factors when analysing the market, and the now real potential for a European/US-US sovereign debt crisis. More recently we have noted the emergence of vulture investors in the buy-to-let mortgage market and explored the potential obstacle this may pose to workable solutions for affordable housing, including The HBF’s deposit unlock scheme and more speculatively a

Rentenmark-style green bond (Wrigley),to support affordable house building. We emphasise the importance of understanding the different markets for housing services and assets, as well as the functions of money and its creation in the context of its traditional billing as a medium of exchange, measure of value, store of value, basis of credit, unit of account, and standard of postponed payment. Finally, the origins of the word 'mortgage' when explored, reveal its eerie root in the Latin term for 'death pledge', we wonder would this coinage still be in use in a prosperous home owning democracy and society with secure tenure and good housing for all. Perhaps the use of this antiquated term is an appropriate censure and reminder of the extent to which the Social benefits of secure home occupation supported as part of the valuable social capital of Civic society, have been eroded over the Boom and bust decades since 1980. Overall, we have sought to provide a thought-provoking analysis of the complex and interconnected issues surrounding housing and finance.

A potted historical analysis of the UK housing market from the post-World War 1 period to the present day will find certain standard factors that influenced housing demand and supply, such as population growth, migration, interest rates and the availability of mortgages and building land coupled to affordability in terms of household budgets. A clear feature one would have to note is that rationing was generally in force for much of the in force for much of the post-World War 2 period, which saw limited access to loans and led to building society rationing during periods of high demand[3]

The issue of affordable housing in the UK has been a growing concern since the mid-1990s. The traditional means of providing suitable housing has been through a combination of local authority provision, private landlords, and home ownership supported by mortgages. However, with the liberalization of the housing market since the 1980s

and light-touch regulation of the finance sector, the financing and distribution of housing have changed considerably. Land use policy, government policy, regulation of rent levels, and the availability of land for development are just a few of the dynamic variables that contribute to the problem. The modern property market is based on privately created debt money, distributed through the banking system[4]. Following the financial crisis of 2008, there has been a focus on borrowers and their actions rather than the lenders and credit creation dynamics. This leads to a misdiagnosis of the problem as a supply shortage rather than an affordability and allocation issue[5][6]. Addressing these complex variables requires a multi-faceted approach and a deeper understanding of the system as a whole.

The post-World War 2 period, which saw limited access to loans and led to building society rationing during periods of high demand even when ration books for other goods were a fading memory and not known to the Post war generation of Boomers now approaching retirement. In the “Yuppy” merry go round of the 1980’s which saw the entry of banks into the housing market, interest rate movements have become the more likely way to clear the market than rationing [7]. As Yesterday's post punk yuppies become today’s NIMBY's, House prices have risen in correlation with the increased money supply since the early 1980’s. This correlation and huge price growth has seen house prices and rental prices outstripping Wage growth which in turn has broken the fundamental relationship between incomes and rentals to Property values. This trend has been further exaggerated by the financialisation of Housing as an Asset class over and above its necessary social value. A trip down the housing memory lane would be remiss without asking what happened to government policies on housing, such as the "Homes fit for heroes" campaigns and the the

post “Great War” Town Planning. Act of 1919[8]. Overall we hope to provide valuable context into the UK housing market's past and present dynamics.

The UK housing market is a complex and dynamic system that involves various stakeholders, including central and local government, house builders, SMEs, contractors, banks, and housing associations. The market has experienced several fluctuations in tenure ratios over the years. The post-World War 1 and post-World War 2 periods were characterized by a shortage of housing, leading to the construction of council houses. In the 1970s, there was a boom in the housing market, followed by a bust in the 1980s, which led to the introduction of the right-to-buy scheme. The 1990s saw another boom and bust, followed by the naughties boom and bust.

In recent years, the housing market has been impacted by various factors, including the pandemic, which has led to urban flight. The pandemic has also highlighted the need for a great reset in the housing market to address the current housing shortage and affordability crisis. The supply side of the market is influenced by land availability, planning regulations, and financing options. The shift towards larger house builders has reduced the number of SMEs in the market, while the contracting business has undergone several reviews to improve efficiency and sustainability and a similar consolidation into larger firms.

Banks play a crucial role in providing financing for land acquisition and construction procurement. However, the demand side of the market is driven by owner occupation, rental market, social housing, and buy-to-let options. The transfer of local authority housing to housing associations has led to their growth, while revenue from the right-to-buy scheme has not been invested in new stock.

Overall, the UK housing market is a broken dynamic system that requires collaboration and innovation from all stakeholders to address the current housing shortage and affordability crisis.

In concluding this introduction the UK housing market is a complex ecosystem that requires a holistic approach to address the current challenges. The pandemic has highlighted the need for a great reset in the housing market, which should involve collaboration and innovation from all stakeholders. The supply side of the market should focus on improving efficiency and sustainability, while the demand side should prioritise affordability and social housing options. The housing system is broken,but with concerted efforts from all stakeholders, it can be fixed.

The Housing Affordability Crisis.

edit

In the debate surrounding what should properly be called “the housing affordability crisis”[9] there has been a common agreement among think-tanks that a shortage of supply is the main cause of unaffordability. However, there has been little discussion on the role of demand-side factors such as interest rates and income inequality. These demand-side framing's are often unpopular among New Urban Economists and are seen as challenging the efficacy of free markets. Left-leaning think-tanks also tend to avoid demand-side explanations as they imply politically unfeasible policies such as wealth redistribution. As a result, supply-side framing's continue to dominate in the English policy discourse. It is important to consider both supply and demand-side factors when analysing the housing affordability

crisis and when considering and developing a full range of policy solutions.

Chris Foye in his recent paper discusses the trend of think-tanks becoming more disciplined in their framing strategies since 2017, with examples from Shelter, Centre for Cities, and Policy Exchange. The explanation for this trend is attributed to changes in politics, particularly the vacuum in policymaking after the 2016 EU referendum, and We would add both during and since the Event 201 Pandemic . Framing strategies involve presenting a selective yet not factually inaccurate picture of empirical evidence and entwining it with a preferred policy agenda. However, this can lead to reductive debates and politically contingent causal narratives. A full treatment of the subject would consider several factors all of which have culpability in contributing to the housing crisis including demographics, wages, employment, the mortgage market, cash buyers, the Bank of Mum and Dad, and the effect on Generation Rent of student debt,the new innovation since the 1990's.

The UK Housing Affordability Crisis: Discussion of main themes.

edit

The UK housing affordability crisis has been a topic of discussion for several years now, with many experts agreeing that there is a significant problem. The issue is multifaceted, with various factors contributing to the current state of the market. Here we suggest some of the key issues and challenges associated with the UK housing affordability crisis.

Demographics

edit

One of the main drivers of the housing crisis is population growth. As the population continues to increase, so does the demand for housing. This has led to a shortage of homes, which in turn has contributed to pushing up prices, or increased waiting lists. Another demographic factor contributing to the housing crisis is the ageing population and the size and age distribution of different types of households. One less talked about aspect of Household formation and Age

demographics is that as people get older, their housing needs change, and many require more specialised accommodation,there is a shortage of such homes, leaving many older people struggling to find suitable housing.

Wages and Employment

edit

The relationship between wages and housing affordability is a complex one. In recent years, wages have failed to keep up with the rising cost of living, leaving many people struggling to make ends meet. This has made it increasingly difficult for people to save up for a deposit on a home. Additionally, the impact of unemployment on the housing market cannot be overlooked. When people lose their jobs, they often struggle to keep up with their mortgage or rental payments, leading to an increase in repossessions, Evictions Homelessness and a decrease in home ownership.

Mortgage Market

edit

The role of mortgage lenders in the Broken housing market cannot be overstated, although often ignored completely. In recent years, banks have tightened their lending criteria, making it harder for people to get on the property ladder. This has had a particularly significant impact on first-time buyers, who often struggle to save up for a deposit. The challenges facing first-time buyers are further compounded by rising house prices and stagnant wages.

Cash Buyers

edit

The rise of cash buyers in the housing market has also had an impact on affordability and availability of homes. Cash buyers are often investors or foreign buyers who are willing to pay above the asking price for a property. This has led to a situation where many properties are out of reach for ordinary buyers, driving up prices and making it harder for people to get onto the property ladder.

Bank of Mum and Dad

edit

The growing trend of parents helping their children onto the property ladder has also had an impact on intergenerational inequality. While it is great that parents are willing to help their children, this has created a situation where those without wealthy parents are at a significant disadvantage. This has led to a situation where home ownership is increasingly becoming a privilege reserved for the wealthy.

The Housing Ladder

edit

The challenges facing those trying to move up the property ladder are also significant. As house prices continue to rise, many people who would like to move to a larger property or a more desirable area find

themselves unable to do so. This has had an impact on social mobility and inequality, with many people stuck in homes that no longer meet their needs.

Generation Rent and Student Debt

edit

The rise of the renting culture among younger generations is another factor contributing to the housing crisis. Many young people are unable to save up for a deposit due to rising living costs and student debt. This has led to a situation where an entire generation is being locked out of the housing market, with little hope of ever being able to afford a home of their own.

Housing Stock

edit

The UK's housing stock is another issue that needs to be addressed. There is a shortage of affordable homes, particularly in urban areas, where demand is highest. This has led to a situation where many people are forced to live in overcrowded or substandard accommodation. The need for more affordable homes is clear, but the question of how many and by whom remains an as yet unresolved issue.

Conclusion

edit

The UK housing affordability crisis is a complex issue that requires a comprehensive solution. Demographic factors, wages and employment, the mortgage market, cash buyers, the Bank of Mum and Dad, the housing ladder, student debt, and housing stock are all contributing to the current state of this aspect of our communities and civil life, its more than just a Housing Market it is part of the social

fabric of our daily lives. Addressing these issues will require a coordinated effort from government, industry, and society as a whole. Only by working together can we hope to find a solution to the UK's housing affordability crisis and ensure that everyone has access to safe, secure affordable housing.

A codicil to that overview of the UK Housing Affordability could be found down A few paths less travelled.

Amberfield Land.

edit

The Royal Institution of Chartered Surveyors (RICS) recently published a report titled 'AmberField Land'[10], which outlined a new vision for the property market. One of the key recommendations was the creation of a new land classification called 'amberfield land', which would identify 'ready to go land'. The aim of this new classification is to increase the supply of housing and create new development opportunities. Amberfield land would be an addition to the existing classifications of greenbelt or 'greenfield land' and 'brownfield land'. Greenbelt land establishes a buffer zone between urban and rural land, while brownfield land is defined as previously developed land.

Misallocation of credit

edit

In a groundbreaking paper Maurice Starkey (2018)[11] explored the causes of the 2007 financial crisis by utilising the Quantity Theory of Credit. (Werner)[12]. This theory suggests that changes in the money supply can have a significant impact on the economy, including the housing market. As such, more finance realist economists are examining how mortgage lending practices of banks and more

broadly credit creation by Banks may have significantly contributed to the succession of crises' since the 1980's.

Delivering resources at the points of need.

edit

In response to the Callcutt review of housebuilding delivery[13], the Council of Mortgage Lenders (CML) has stated that it is important for lenders to be fully involved in policy discussions that aim to influence the house building market[14]. The CML represents the residential mortgage lending industry and its members hold over 98% of the assets of the UK mortgage market. The CML has highlighted two areas where government policies have had unintended consequences: modern methods of construction (MMC) and planning. The CML has engaged with the Building Research Establishment to develop a certification standard for MMC properties that will recognise and meet the needs of both lenders and buildings insurers. In terms of planning, the CML has stressed the need for better consultation with stakeholders, including lenders, to avoid situations where there is an oversupply of new-build flats and difficulties for lenders in dealing with restrictive covenants imposed by local planning authorities.

The Supply Side, Construction.

edit

Building our Way Out of the UK Housing Crisis: Key Reports and Strategies

edit

The UK is currently facing a "house building crisis", with a shortage of affordable homes and high demand from a growing population. To

address this issue, the construction industry has been under scrutiny for its inefficiencies and slow build out rates on large sites. Our next task is to explore key reports and strategies that have been proposed to tackle these challenges.

A. Building to the Skies by Alfred Bossom (1934) [15]

edit

In 1934, Alfred Bossom published Building to the Skies, a report that criticized the inefficiencies in the construction industry and its impact on the wider economy. This report was followed by similar criticisms in subsequent reports, including the Latham Report (1994)[16], Egan Report (1998)[17], Government Construction Strategy (2011)[18], and Construction 2025 (2013)[19]. These reports highlighted the need for greater collaboration, innovation, and efficiency in the construction industry.

B. Barlow Report (1940)[20]

edit

The Barlow Report was published in 1940 and investigated the imbalance in the distribution of industry and populations. It proposed the decentralization of industry and the creation of a board for industrial location, which set the foundations for the new towns program. This report recognized the need for strategic planning and infrastructure investment to support sustainable development.

C. Other Reports

edit

Other notable reports include The Barker Review of Housing Supply (2004), DFMA Lessons Learnt 60 K house competition DTI (2006),

Callcutt Review of Housebuilding Delivery by John Callcutt (2007), Laying the Foundations: A Housing Strategy for England (2011), Lyons Housing Review (2014), Fixing the Foundations: Creating a More Prosperous Nation (2015), and Housing White Paper: Fixing our Broken Housing Market (2017). These reports proposed various strategies to increase housing supply, improve affordability, and accelerate the delivery of new homes.

Build Out Rates on Large Sites (Absorption Rates)[21]

edit

A. Findings on Build Out Period and Percentage of Site Built Out Annually

edit

Build out rates refer to the rate at which homes are built and occupied on a large development site. According to recent research by Savills, the average build out rate for large sites in England is around 75 units per year, which equates to a build out period of 15 years for a site with 1,000 units. This slow pace of development has been a major factor contributing to the housing crisis.

B. Fundamental Drivers of Slow Build Out Rates

edit

There are several fundamental drivers of slow build out rates on large sites, including land acquisition, planning permission, infrastructure

provision, construction skills shortage, and market conditions. The process of acquiring land and obtaining planning permission can be lengthy and complex, which can delay the start of construction. Infrastructure provision is also critical to support new development, but it can be costly and time-consuming to deliver. Additionally, there is a shortage of skilled workers in the construction industry, which can further slow down the pace of development.

C. Recommendations for Accelerating Build Out Rates

edit

To accelerate build out rates on large sites, there are several recommendations that have been proposed by industry experts and policymakers. These include:

1. Streamlining the planning process: This could involve simplifying planning regulations and reducing bureaucracy to speed up the delivery of planning permission.

2. Investing in infrastructure: This could include funding for new roads, schools, hospitals, and other essential services to support new development.

3. Encouraging innovation: This could involve promoting modern methods of construction, such as off-site manufacturing, to increase efficiency and reduce costs.

4. Addressing skills shortages: This could involve investing in training and apprenticeships to attract new talent into the construction industry.

5. Creating incentives for developers: This could include tax breaks or other financial incentives to encourage developers to build more homes more quickly.

Addressing the UK “House building Crisis” requires a multifaceted approach that involves collaboration between policymakers, developers, Contractors and industry experts. By implementing strategies to increase efficiency, accelerate build out rates, and improve affordability, we can build our way out of this crisis and provide much-needed homes for our growing population.

The Letwin review[22] a “Did he say that out loud moment?”

edit

Most conventional approaches to the Housing supply side delays and pitfalls stop there. In 2018 in his draft analysis on build out rates, Sir Oliver Letwin went further and there was a “Did he say that out loud moment?” this “Absorption Rate” revelation has provided The most groundbreaking and

insightful government report on the Business model of Large housebuilders and the effect of this business model on wider housing delivery in the context of Financialisation, the full report can be found in The - Independent Review of Build Out Rates Draft Analysis by Sir Oliver Letwin MP (2018)

“The fundamental driver of build out rates once detailed planning permission is granted for large sites appears to be the ‘absorption rate’ – the rate at which newly constructed homes can be sold into (or are believed by the house builder to be able to be sold successfully

into) the local market without materially disturbing the market price." Sir Oliver Letwin MP (2018)

"The Housing Market Mortgage Crisis"

edit

Mortgages and Finance

edit

The mortgage market has undergone significant changes over the long period from "Big Bang to now". These changes have impacted the liquidity and efficiency of the housing market. These effects of Financialisation (Banks and Markets) over Mutualisation (Building societies and credit unions) , has emphasised the speculative finance aspects of Property as an financial asset class over Housing as Social Capital.

Another challenge is the tightening of credit standards. In the wake of financial crises, lenders become more cautious in their lending practices, which has made it more difficult for younger borrowers to qualify for a mortgage. This has also lead to a decrease in the number of loans being originated, which has had a negative impact on the entry level of the housing market.

Prioritising Margins over Volumes [23]

edit

To address these challenges, regulators and policymakers have implemented a number of measures. One such measure is the coordination of housing policy and mortgage regulation. Help to buy,

which is called jokingly ,"Help to sell"[24] by some developers is just one example as how "Assisting" the market has exacerbated the Price spiral inherent to the Housebuilder absorption rate approach to price maintenance over producing homes where they are needed,in sufficient volumes.

The evolution of government housing market interventions have aimed to support the housing "market" by providing access to credit, promoting "affordability", and reducing risk. However, policymakers have largely failed to balance these interventions with the need for a balanced housing market across lower price brackets. A balanced Housing stock from the perspective of Social Capital, has remained elusive.

Regulators and policymakers must consider the wider impacts of their decisions. For example, changes to mortgage regulation have consequences and serve the objectives on and of other parts of the financial system. Policymakers must be aware of these potential conflicting objectives and stop favouring the Finance Capital priorities over the social capital requirements of housing as part of the social capital commons.

Finally, regulators and policymakers must be sensitive to intergenerational polarisation. The housing market has a significant impact on wealth distribution across generations, and policies must be designed with this in mind. Younger generations must have access to affordable housing, while older generations must be able to access the equity in their homes and have the opportunities to down size and adapt to independent later years living.

"The Housing Market Mortgage Crisis", reveals a mortgage market and construction and land finance market that is not fit for purpose or indeed the desirable vehicle through which to tackle the as yet

unresolved significant challenges in our provision of Housing as social capital as opposed to Financial Capital. Regulators and policymakers should take steps to address this “Finance Market Blind Spot”, By coordinating housing policy and mortgage regulation and credit creation, allowing an evolving range of possible government interventions, considering wider impacts, and being sensitive to intergenerational polarisation, policymakers can create a sustainable and efficient housing market that benefits all stakeholders.

The key starting point is to recognise the existence of essentially two separate “Markets” Ian Mulheirn put it this way in an appearance on the Jolly Swagman Pod cast.

“The 5th thing is the misunderstanding that there are two markets here. You have two markets, Two prices The Market for housing services is the Rental Market The Market for housing assets is the House Price Just Like Cameron’s example of the I Phone price versus the Apple Share Price. These are different markets with different prices and people just don’t get that!” Ian Mulheirn.

More than Supply Alone.

edit

Increasing housing supply alone is not enough to raise home ownership rates and resolve Ownership and rental affordability. Empirical evidence shows that higher supply only has a modest impact on house prices, and mortgage finance availability is a key factor in determining who can buy a home. The UK mortgage market is expected to weaken due to affordability pressures and rising interest rates, with cash buyers being the most buoyant group of movers since the 2008 GFC However, it is difficult to identify the

characteristics of cash buyers as they cover a broad range of individuals, from overseas buyers to older down-sizers and investors. Last-time buyers, aged 55 or older, now account for one in three moves within the owner-occupied sector, and the Housebuilding industry needs to provide more resources to this market growing in both Importance and size in relation to the dynamic of freeing larger family homes and enabling a cycling of ownership through the various tenures and accommodation needs, up and down the demographic profile.

The trend of older homeowners owning their homes outright has led to an increase in cash transactions in recent years. However, only a small percentage of older homeowners are last-time buyers, with many facing obstacles in finding suitable properties to buy. The lack of manageable,

energy-efficient, and low-maintenance homes has hindered the growth of the last-time buyer market, which is the focus of our Silverm@ix Brand.

There is not a need for programmes similar to the generally failed Help to Buy initiatives for first-time buyers, many developers refer to the scheme as (Help to sell) although Stamp duty initiatives could relieve congestion at the top of the Housing ladder chain down to Mid Market price ranges. Of course stamp duty gimmicks have caused several damaging peaks in demand causing avoidable price inflation pressures which would not otherwise have materialised.

In terms of mortgage lending, the outstanding value of all residential mortgage loans in Q3 2022 was 4.1% higher than the previous year, with the value of new mortgage commitments being the highest recorded since 2007 Q3, similarly this seems to be the top of the Market for New Builds and the Interest rates shock therapy applied to

the Market since December 2021 is still working its way through to the Market which is suspended at “Peak Unaffordability” for this cycle. The mortgage industry in the UK has traditionally been dominated by building societies, but their share of the market has declined since the 1970s, with banks and other institutions holding a much larger share correlated also to the decoupling of rental levels and Wage Price ratios from Valuation as traditionally applied in the Valuation of Property assets.

House Prices and Rental Levels

edit

The UK housing market price inflation has been a topic of concern for many years, with house prices seeming to continually rise out of reach for more people. There are a number of factors that contribute to this, including general levels of wage growth, interest rates, credit conditions, supply elasticity, expectations and risk premia, maintenance costs and taxes.

One of the key issues facing the housing market is the lack of a comprehensive model that takes into account all of these factors. Without such a model, it is difficult to fully understand the impact that each factor has on the two market orbits of The Housing Market and the Social Capital stock of homes, this failure is preventing the development of effective solutions.

It is clear that the housing market has a significant impact on both economic growth and well-being, as well as financial stability. It is therefore essential that we find ways to address the factors affecting house prices and the Housing stock of social capital by developing a more holistic approach to housing affordability.

Local authorities, housing associations, and social housing stock also play a crucial role in addressing housing affordability issues. It is important to maintain and expand social housing stock and to work collaboratively with the private sector to find affordable housing solutions.

Unfortunately, collaboration with the private sector has failed in the past and is likely to continue to do so under the s.106 and CIL regime due to absorption rate commercial demands on the large house builders and their balance sheets. This highlights the need for a pragmatic admission that "the market" does not have solutions for the provision of affordable local authority housing.

In conclusion, it is clear that there are a number of complex factors affecting UK house prices, and that a more comprehensive and collaborative approach is needed to address these issues. It is essential that we work together to find long-term solutions that will benefit both individuals and the wider economy.

Sound Bites, Canards and Narratives of Housing Ladder Mythology.

edit

The UK housing market has undergone significant changes in recent decades, with the transfer of council housing to not-for-profit housing associations being a major development. The Housing Acts of 1985 and 1988 facilitated this transfer, allowing housing associations to access private finance and become the providers of most new public-sector housing. However, some council areas have opposed this policy, preventing transfers to housing associations.

Meanwhile, a new study has found that student loan debt plays a significant role in structuring young people's housing in England[25]. Graduates who did not borrow for higher education are more likely to own their home and less likely to rent or live with their parents than those who borrowed for their studies or never attended higher education. This suggests that higher education funding policies and student loan debt have an impact on young people's housing tenure.

Other factors affecting the UK housing market include the planning system, land reform, land ownership, and consented plots. The Independent Review of Build Out Rates covered these aspects of House building almost uniquely. Overall, the UK housing market is complex and constantly evolving, with various policy failures and Fudge factors misshaping its positive development.

As the UK population ages, there is a growing need for more housing options specifically designed for older people. The current retirement housing market mainly caters to wealthy homeowners[26], leaving many older individuals without suitable options, this is a common feature shared with the experiences of younger people starting out at the entry level of the “Housing Ladder”. To address this issue, a policy program focused on increasing competition and choice in the retirement housing market has been proposed. This program includes recommendations for the government, local authorities, and developers to prioritize the development of affordable and accessible housing options for older people.

The goal is to provide greater choice in cost, design, and tenure for individuals of all financial means. By addressing the housing needs of older generations, we can help ensure that everyone has access to safe and comfortable living arrangements as they age, and ensure an

optimal turnover of suitable homes from the Existing Stock and directing new homes building at critical pressure points.

In the recent House of Lords debate on the “Housing Crisis” [27] the impact of immigration on the housing market in England was raised by Lord Lilley who argued that not only older familiar domestic factors, but also a continuing flow of high net immigration could not be honestly pursued without ensuring proper resource provision including house building to support a much larger population. He (Lord Lilley)[28] suggests that the net inflow of 200,000 or 300,000 immigrants per year requires the construction of extra houses to meet the demand. This poses a challenge as there will be objections to housebuilding. The debate on whether to allow mass immigration into the country and build extra properties every year needs to be addressed honestly.

The treasury and Bank of England need to consider this factor when formulating policies related to the housing market. A coherent strategy that encompasses social, economic, and environmental aspects of housing and construction is necessary to address the multiple problems affecting all tenures in the housing market in England.

Savills’, “the posh peoples Estate Agent”, publishes every year an overview of the UK's housing wealth, the total net worth of the country and the value of dwellings as the most valuable non-financial asset seem to climb to ever dizzier heights standing at £8.68 Trillion in 2022.[29] In considering this Value placed upon the Housing stock it is important to highlight the impact of fiscal policies on housing wealth, such as stamp duty and mortgage interest relief. Consideration is needed on proposals for reforming stamp duty, including relief for last-time buyers[30] and those looking to move into specialist or

smaller/cheaper properties. We question the effectiveness of political posturing around proposals supposed to pacify various factions of the Home-making , House building and Property Market and real estate Investment Landscape and warn of unintended consequences flowing from pleasing sound-bites crafted around treasured canards of the the British “ Housing Ladder Myths”.

Home@ix BUMPER STICKER, summer 2022.[31]

edit

“occasionally something outside the Box(SILO) comes along and seems obvious but no one saw it previously. We think Home@ix is like that!”

The stylem@ix brand has been put on ice with a watching brief, as the latest Financial crisis has again caused a credit crunch and associated havoc at all stages of the Housing Value Chain both Financial and Social, on both the Supply and Demand sides of the equation. Our preference in the meantime has been to develop our offering through a Dashboard for Down-sizers and Last Time Buyers via the Silverm@ix brand.

1. ^ http://www.realrld.com/blog/the-ending-of-the-long-monetary-expansion-cycle-and-a-brave-new-world-of-housing-realism
2. ^ https://notthegrubstreetjournal.com/2023/01/02/from-homes-for-heroes-to-exponential-zeroes-neglected-actors-in-the-housing-crisis-narrativeabsorptionrate-lasttimebuyerscash-buyers-fiscalpolicy-miras-and-stampduty-an/

3. ^ https://www.bankofengland.co.uk/-/media/boe/files/quarterly-bulletin/1982/mortgage-lending-and-the-housing-market
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